

Multiple Choice

1. **Answer:** A

Options: A) Seeking to increase the demand for the union's labor; B) Negotiations to obtain a wage floor; C) Encouraging workers to increase their productivity; D) Lobbying for higher minimum wage laws; E) Promoting worker training and education

Note: Correct option: A - Seeking to increase the demand for the union's labor

2. **Answer:** D

Options: A) Domestic steel producers lose revenue.; B) Allocative efficiency is improved.; C) It results in a decrease in domestic steel production.; D) Income is transferred from domestic steel consumers to domestic steel producers.; E) Domestic steel prices fall.

Note: Correct option: D - Income is transferred from domestic steel consumers to domestic steel producers.

3. **Answer:** A

Options: A) natural unemployment.; B) underemployment.; C) discouraged worker.; D) structural unemployment.; E) jobless recovery.

Note: Correct option: A - natural unemployment.

4. **Answer:** A

Options: A) changes in the money supply have significant effects.; B) fiscal policy should not be used to manage the economy.; C) the FED should allow the money supply to grow at a constant rate.; D) fiscal policy has no impact on the economy.; E) the FED should decrease the money supply to combat inflation.

Note: Correct option: A - changes in the money supply have significant effects.

5. **Answer:** C

Options: A) Government intervenes only during economic crises to stabilize the market; B) Government plays a minor role by enforcing contracts and property rights; C) No government intervention in the economy; D) Government provides public goods and services but does not control private enterprise; E) Limited government intervention primarily in defense and public safety

Note: Correct option: C - No government intervention in the economy

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'By the interaction of supply and demand in the market'.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'The deadweight loss in this market would decrease.'
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: '\$5,000'.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** 10. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Land includes only renewable resources such as wind and solar energy. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key